HEADLINE JUDGMENT

Note: this edition follows a **four-session gap** — the last was 7 Aug and no Monday edition was produced. 11 Aug oil, gas and dollar figures are intraday; **the entire Treasury curve, MOVE, VIX, SOFR, Asia LNG and both gasoline series have NO 11 Aug print**, so every rate and volatility reading below is the Monday 10 Aug close and is labelled as such. The integrity check clears: the 7 Aug row refreshed with true closes and the 10 Aug row is a full print. **Score HOLDS at 27/30 for a fifth consecutive edition. No channel moved.** The number is unchanged and almost nothing else is. A week ago this monitor was tracking two live DOWNGRADE candidates — oil, $5.38 from its anchor, and escalation, on a corridor deal with agreed coordinates. **Both are dead, and the reversal came through the strait itself.** On Saturday 8 August **a missile hit an ADNOC tanker inside the Strait of Hormuz and the UAE foreign ministry publicly attributed it to the IRGC**, calling it piracy; UKMTO logged it as incident 108-26 and holds the strait at SEVERE, recording **eight cargo transits on 8 August against a 138/day historical average — about 6% of normal.** On Sunday the **Houthis struck Saudi Aramco's Jazan refinery**, the Saudi energy ministry confirmed the fire, and on Monday Reuters and Bloomberg reported Aramco has **pushed the 400k b/d restart from about 15 August to 30 August.** The diplomacy went maximalist in the same window: Iran's Supreme National Security Council published **six conditions including US withdrawal from the region and full war reparations**, its parliamentary security commission approved the Hormuz bill's framework **with no opposing votes and fines of up to 20% of cargo value**, and Trump told Axios the United States is **'only semi-negotiating'**. Oman has still published nothing. Crude repriced accordingly: **Brent closed $85.89 on Monday, up $4.24 on the session and $7.82 on the week, the highest close since 31 July** — and the oil channel is now $9.11 from an UPGRADE and $13.41 from the downgrade anchor it was $5.38 from six days ago. Underneath it, **the SPR fell below 300 million barrels to 298.7 mb, the lowest since January 1983.** The macro cross-current runs the other way and does not rescue anything: **July payrolls printed −23,000 with 103,000 of downward revisions**, which took September hike odds from 67% to 46% and drove MOVE to 72.03 and VIX to a war low of 14.90 on Friday — then Monday sold the long end back, the 30Y closing 5.2510% and the 10Y 4.7067%, **re-satisfying Stage-4 Threshold B two days before the 30-year refunding auction.** Sequencing 27 → 27 → 27 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

11 Aug 2026 readings are intraday prints from the Singapore morning. The 10 Aug row is a confirmed close and the 7 Aug row has refreshed; the integrity check clears. d/d is 11 Aug intraday vs the 10 Aug close; w/w is vs the 4 Aug close (five sheet-rows back); vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force. **Because no edition was produced for Monday, the 10 Aug close is reported in full below rather than only as a d/d reference — it is the session that did the work.**

Benchmark	Intraday 11 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	$85.75 /bbl (H 86.07 / L 85.55)	–$0.14 (+$7.82 w/w)	from $72.48 (+18.3%) — a **$13.27/bbl premium**. The morning is a 52-cent range holding Monday's gain rather than extending it. Four consecutive up-sessions ended overnight; the level, not the direction, is the story. Active COA prints $87.78	CO2 Comdty (Close)
Brent · 10 Aug close (last confirmed)	$85.89 /bbl	+$4.24 vs the 7 Aug close $81.65	**The highest close since 31 Jul and the largest one-session rise since 29 Jul.** It sits **$9.11 below the $95 upgrade trigger and $13.41 above the $72.48 downgrade anchor** — against $7.98 and $14.54 respectively on 6 Aug, so the channel has moved decisively toward an upgrade and away from a downgrade in one week. Still $32.46 below the 31 Mar war high of $118.35	CO2 Comdty (Close)
WTI front-month	$81.16 /bbl	unchanged to the cent (+$6.76 w/w)	from $67.02 (+21.1%) — the intraday print is identical to Monday's close, which rose $4.01. CLA prints $82.24 against CL2's $81.16; the continuation artifact persists	CL2 Comdty (Close)
Brent–WTI spread	$4.59 /bbl	narrower by $0.14 on the day	$5.54 on the active contracts (COA $87.78 / CLA $82.24) — the widest active spread since 31 Jul. Brent has outpaced WTI through the rally, which is the signature of a Hormuz-specific rather than a global supply repricing: the waterborne benchmark is carrying the premium and the landlocked one is not	derived
Henry Hub natural gas	$2.768 /MMBtu	–$0.026 (+$0.086 w/w)	from $3.06 (–9.6%) — still BELOW pre-war, but off the **$2.640 war low set on 6 Aug**; Monday's $2.794 close was the highest since 24 Jul. US gas participated in the Monday rally only marginally and remains the cleanest evidence that this is a Hormuz-routing shock rather than a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€61.650 /MWh	+€0.852 (+€5.729 w/w)	from €31.23 (+97.4%) — **within €2.00 of doubling against pre-war**. Monday closed €60.798, up €5.254 and the highest since 24 Jul, leaving the 24 Jul war record of €63.649 just €2.851 away. European gas has retraced its entire early-August de-escalation move in three sessions	TZTA Comdty (Close)
Japan/Asia LNG (10 Aug close — no 11 Aug print)	¥3,359	–¥58 vs the 7 Aug ¥3,417	from ¥1,669 (+101.3%) — the **7 Aug print BACKFILLED at ¥3,417**. There is no 11 Aug print, flagged and NOT carried forward. Asia LNG FELL on Monday while TTF and crude rose sharply, the first clean divergence in a week and worth watching rather than reading into. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

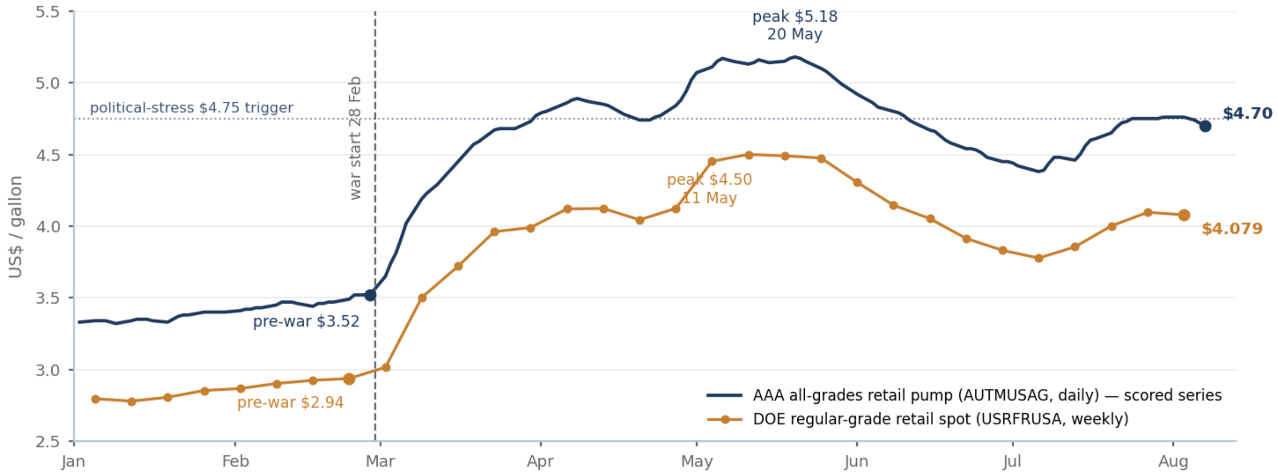
There is no 11 Aug print anywhere on the curve. Every figure in this table is the Monday **10 Aug close**, which is confirmed and is the reading on which every trigger and Stage-4 test below is judged. d/d is 10 Aug vs the 7 Aug close; w/w is 10 Aug vs the 3 Aug close. The Singapore-morning row carries oil, gas and the dollar only — the pattern flagged at §9.6 for Mondays, here on a Tuesday. One exception is treated as a non-print rather than a reading: **5Y5Y shows 2.3414 for 11 Aug, identical to the 10 Aug close to four decimal places**, which is the field-level signature of a stale carry, so it is not used as a fresh observation.

Tenor	Yield (%) — 10 Aug close	∆ d/d (bp)	∆ w/w (bp)	∆ vs pre-war (bp)	BBG ticker
2-year UST	4.2410	+4.6	+0.4	+86.6 (from 3.37%) — the front end rose least of the curve on Monday, having led Friday's payrolls rally. It is flat on the week	USGG2YR Index
5-year UST	4.4118	+6.0	+2.5	+91.0 (from 3.50%) — the largest vs-pre-war gap on the curve	USGG5YR Index
10-year UST	4.7067	+6.1	+3.1	+76.9 (from 3.94%) — **the highest close since 31 Jul, back ABOVE the 4.65% Stage-4 leg by 5.67 bp** and only 2.80 bp below the 4.7347% war record. Monday was the largest one-day rise on the curve	USGG10YR Index
30-year UST	5.2510	+5.0	+2.4	+64.0 (from 4.61%) — **the highest close since 31 Jul, back ABOVE the 5.20% Stage-4 leg by 5.10 bp**, 2.14 bp below the 5.2724% war record, **20.10 bp above the 13 May auction stop** and 25.10 bp above the 5.00% downgrade line. It carries this into Thursday's 30-year refunding leg	USGG30YR Index
2s10s spread	+46.358 bp	+1.6	+3.0	–9.3 (still flatter than pre-war) — **the steepest since 21 May**, and it has steepened on two consecutive sessions for OPPOSITE reasons: Friday a front-end-led bull steepener on payrolls, Monday a long-end-led bear steepener on crude and supply. It is 22.1 bp off the 24 Jun war low of +24.25 bp	USYC2Y10 Index
10Y breakeven inflation	2.2755	+2.2	+1.3	+1.9 (from 2.2569%) — **back ABOVE the pre-war anchor** and the highest since 31 Jul, having closed below it as recently as 5 Aug. Spot inflation compensation has re-taken the war premium it round-tripped last week	USGGBE10 Index
5Y5Y forward inflation	2.3414	+0.4	+0.4	+19.9 (from 2.14%) — **a NINTH consecutive close above the 2.30% trigger** that fired this channel 4→5 on 31 Jul, clear by 4.14 bp, the highest since 31 Jul and 1.83 bp off the war record. The 6 Aug close was the seventh of this run, not the eighth as reported that day — the count is corrected here	USGG5Y5Y Index
SOFR (no print 10 or 11 Aug)	3.62	—	no print	last printed 3.62 on the 7 Aug close, itself a BACKFILL. Two consecutive dark sessions, flagged and NOT carried as fresh	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	∆ vs pre-war	Interpretation
DXY	99.815	11 Aug intraday	+2.21 (from 97.61)	Flat this morning after Monday closed 99.811, up 0.272. The dollar rose with yields and crude on Monday and fell with them on Friday, so it is trading as a US-rates proxy rather than as a haven. It is 0.09 lower on the week and has gone nowhere in a fortnight while everything around it has moved.
MOVE	75.46	10 Aug close (no 11 Aug print)	+2.08 (from 73.38)	**Up 3.43 on Monday and back ABOVE the 75 line that forms the second leg of the Treasury downgrade.** The leg was satisfied on Friday's 72.03 close — the lowest since 17 Jul and the second time in the war it has been met — and was lost again in one session, exactly as happened on 5–6 Aug. **Twice now the volatility leg has been satisfied for a single session and given back.** It is 54.54 pts below the 130 Stage-4 Threshold C, and –5.02 on the week.
VIX	15.46	10 Aug close (no 11 Aug print)	–4.40 (from 19.86)	Up 0.56 from Friday's **14.90, the lowest close of the entire war** and the lowest since 9 Jan. Equity volatility set a war low in the same week the strait recorded a tanker strike and a refinery fire — the clearest illustration this monitor has of how little of this conflict US equity vol is pricing.
AAA gasoline	$4.70 /gal	7 Aug print (10–11 Aug blank)	+$1.18 (from $3.52, +33.5%)	Political-stress score reference. **The 7 Aug print BACKFILLED at $4.70 — a THIRD consecutive close below the $4.75 trigger and a fifth consecutive decline from the $4.76 of 3 Aug.** That is a real retreat and it is flagged as such. It is not a downgrade: the documented condition is a sustained retreat toward the $3.52 anchor, which is $1.18 away, the series is dark for 10 and 11 Aug, and Monday's $4.24 move in crude has not reached the pump yet. Basis note: all-grades, not the regular-grade average AAA publishes, which printed $4.0091 on 10 Aug.
DOE gasoline	$4.079 /gal	3 Aug weekly print (no new release)	+$1.14 (from ~$2.94, +38.7%)	Corroboration only. The week-to-10-Aug print had not posted at this snapshot, so the 3 Aug reading stands. The corroborating retail series are still falling: AAA's own regular-grade average was $4.0091 on 10 Aug against $4.0946 a week earlier, and **diesel $5.2996 against $5.3639** — but diesel is still 45 cents above a month ago, and all of it pre-dates Monday.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war $3.52, peak $5.18, latest confirmed print $4.70 on 7 Aug, backfilled in this extract; 10 and 11 Aug blank); USRFRUSA (DOE regular-grade retail spot, weekly) is corroboration only (pre-war ~$2.94, peak $4.50, latest $4.079 for the week to 3 Aug). The dotted line is the $4.75 political-→5 threshold, and the right-hand end now shows the scored series clearly beneath it: $4.76 on 30 and 31 Jul and 3 Aug fired and reinforced the upgrade, then $4.75, $4.74, $4.72 and $4.70 walked it back through the line in four sessions. **That is the retreat the downgrade condition contemplates, early and from $1.18 above the anchor.** What the chart cannot show is Monday: crude rose $4.24 and the pump series is dark.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 163 — and traffic FELL again	Closed since 28 Feb. **UKMTO's Update 082 of 9 Aug** — superseding Update 080 (081 not retrievable) — records **eight cargo transits on 8 August, two of them tankers, against a 138/day historical average: about 6% of normal, down from the ~9% the 5 Aug Lloyd's List brief implied**, and raises Hormuz to **SEVERE, 'deliberate hostile action considered as highly likely'**, with the Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL and the Arabian Gulf MODERATE. Other trackers, on their own incompatible denominators and reported unreconciled: Kpler 8 confirmed crossings on 7 Aug (–33% d/d), most via the Iranian unilateral scheme; Windward 17 transits in the 24h to 8 Aug against its ~140/day baseline, 6 fully dark; TankerMap zero tankers on 7, 9 and 10 Aug. **Windward also has Kharg Island's three loading terminals idle 18 consecutive days** with ~18 dark vessels offshore — an export bottleneck, not a production halt. No Lloyd's List brief since 5 Aug.	UKMTO Update 082 / Kpler / Windward / TankerMap
A MISSILE HIT AN ADNOC TANKER INSIDE THE STRAIT ON 8 AUGUST — AND THE UAE NAMED THE IRGC	**UKMTO incident 108-26.** ADNOC confirmed a vessel attacked early on 8 Aug; fire extinguished, no injuries, transit completed to Fujairah. **The UAE foreign ministry called it an act of piracy by the IRGC**, saying use of the waterway 'as a tool for pressure or economic blackmail' threatened global energy security. **ADNOC says 15 of its vessels have been attacked since the conflict began, one crew member killed and 20 injured.** The GCC Secretary-General condemned it in the strongest terms, with parallel Saudi, Qatari and Jordanian statements. **This is the first time in this war that a Gulf state has publicly and directly attributed a strait attack to the IRGC.**	UKMTO 108-26 / UAE MFA / GCC Secretariat / Al Jazeera / CNBC, 8 Aug
THE HOUTHIS STRUCK JAZAN ON 9 AUGUST AND THE RESTART SLIPPED TO 30 AUGUST	Houthi spokesman Yahya Saree claimed a drone strike on **Saudi Aramco's Jazan refinery** (combatant claim, Tier 3). **The Saudi energy ministry independently confirmed a fire**, no casualties, extinguished, cause unspecified; Aramco chief executive Amin Nasser said recent attacks caused 'some production interruptions' with no material impact. **Reuters and Bloomberg reported on 10 Aug that an IIR alert shows Aramco has DELAYED the 400k b/d Jizan restart from about 15 to 30 August**, on damage from the 27 July attack to the IGCC complex and tank farm; the 80k b/d reformer has been down since 27 May, and Aramco has never confirmed any timetable. The Houthis also hit Yemen's Mocha port twice on 9–10 Aug, killing seven.	Al Jazeera / NPR / NBC / Saudi energy ministry / Reuters and Bloomberg citing IIR, 10 Aug
THE DIPLOMACY WENT MAXIMALIST — SIX CONDITIONS, A 20% FEE BILL, AND 'SEMI-NEGOTIATING'	Iran's **Supreme National Security Council published six conditions**: an end to threats; a permanent end to the war on Iran and its allies in Lebanon, Palestine, Yemen and Iraq; **lifting the blockade and withdrawing US naval and air forces**; **full war reparations**; lifting sanctions; and release of frozen assets. **Trump to Axios, 10 Aug: 'We are only semi-negotiating with them'**, adding the US would seek compensation of its own. On 9 Aug the parliament's National Security Commission **approved the Hormuz bill's framework with no opposing votes** — a blanket ban on US, Israeli and other hostile-state vessels with **fines up to 20% of cargo value** (superseding the 7% carried on 7 Aug). Araghchi called the arrangement 'very close'; the IRGC's Hossein Mohebbi said reopening 'has nothing to do with' the Oman talks. **Oman has still published nothing — fm.gov.om's most recent Iran item is 23 June**, correcting the 27 July date carried previously.	CBS News / Axios / Time / NPR / Al Jazeera / IRNA (Tier 3) / Oman MFA
A twelfth session with no confirmed strike on Iran — but a new war command and a new defence bloc	**No Tier 1 outlet reported a US or Israeli strike inside Iran, or an Iranian attack on US forces, 7–11 Aug.** CENTCOM's last combat release remains 29 July. What filled the space: **Mojtaba Khamenei appointed six senior commanders on 10 Aug**, including Ahmad Vahidi as IRGC commander-in-chief; the **Pentagon urged contractors on 9 Aug to accelerate production, citing depleted interceptor stocks**; and Turkey, Saudi Arabia and Pakistan **signed a joint defence pact in MECCA on 7 Aug** — not Jeddah as pre-reported — an attack on one being an attack on all. The **7 Aug Iraqi militia deadline passed without an attack** after Badr's Hadi al-Ameri told fighters to postpone. Minoan Pioneer, the Kumzar explosions and the contested Qeshm incident remain unresolved.	CENTCOM / Al Jazeera / CNN / NPR / The National / Fox News (unlisted)

2 · US economic shock — analysis with bond yields

The shock holds at 27/30 for a fifth consecutive edition and no channel moved, and yet almost every question this monitor was asking a week ago has been answered in the opposite direction. On 5 and 6 August the live issues were whether oil would fall through its downgrade anchor and whether an escalation downgrade could be taken on a corridor deal with agreed coordinates. **Both questions closed over the weekend, and they closed physically rather than rhetorically.** A missile hit an ADNOC tanker inside the strait on Saturday and the UAE named the IRGC; the Houthis hit Jazan on Sunday and the restart slipped a fortnight; Iran published six conditions that include US withdrawal and reparations; its parliament's security commission passed the framework of a bill imposing fines of up to 20% of cargo value with no opposing votes; and the President described the process as 'semi-negotiating'. Crude answered: **$85.89 on Monday's close, up $4.24 on the day and $7.82 on the week**, with the oil channel now closer to an upgrade than to a downgrade for the first time since 31 July. The one genuinely two-sided development is macro. **July payrolls printed –23,000 with 103,000 of downward revisions**, unemployment fell to 4.1% on a 61.4% participation rate, and the market cut September hike odds from 67% to 46% — a labour tape weak enough to pull the front end down hard on Friday. The long end did not stay down. Monday sold it back with the crude rally, **re-satisfying Stage-4 Threshold B two days before the 30-year refunding auction**. A monitor with a saturated scale cannot show any of this in its total. It can only say plainly that a flat 27 this week is a worse 27 than last week's.

2.1 · Bond-yield transmission

There is no 11 Aug print on the curve; every trigger below is judged on the Monday 10 Aug close. No channel moved. Score holds at 27/30.

(i) Treasury — held at 5 (max), and the volatility leg has now flickered on and off twice in four sessions. Friday was the second time in this war that MOVE closed below the 75 line forming the second leg of this channel's downgrade: **72.03, the lowest since 17 July**, on a payrolls print of –23,000 with 103,000 of revisions. It lasted exactly one session. **Monday closed 75.46, up 3.43 and back above the line** — precisely the pattern of 5–6 August, when a single sub-75 close was given back the next day. The lesson is now twice-demonstrated and belongs in the methodology: **this leg is being satisfied by individual risk-off sessions, not by a regime change in rates volatility**, and a one-session satisfaction is not a sustained one. The other leg is nowhere: the 30Y closed **5.2510%, 25.10 bp above the 5.00% line** and its highest since 31 July. Both legs fail and both are wider than a week ago. What actually matters for this channel is not the downgrade but the calendar. The long end goes into **$125bn of coupon supply across 11, 12 and 13 August**, raising about $28.7bn of new cash, with the 30-year leg on Thursday, a 30Y close **20.10 bp above the 13 May auction stop**, and Threshold B satisfied going in. Treasury held all coupon sizes on 5 August; the demand test was always going to be the real one, and it arrives with crude up $7.82 on the week and CPI landing between the 10-year and the 30-year.

(ii) Oil — held at 2, and for the first time since July the question is an upgrade, not a downgrade. Brent's Monday close of $85.89 is the highest since 31 July and the largest one-session gain since 29 July. It leaves the channel **$9.11 below the $95 upgrade trigger and $13.41 above the $72.48 downgrade anchor**. Six days ago those figures were $17.14 and $5.38. Nothing about the trigger has changed; the price has travelled $8.03 toward one and away from the other in four sessions, and the reasons are physical rather than sentimental. A tanker was struck inside the strait and attributed to the IRGC by a Gulf government. Traffic fell to **eight cargo transits on 8 August against a 138/day baseline, about 6% of normal**. Jazan's 400k b/d restart slipped from mid-August to **30 August**. Kharg Island's loading terminals have been idle 18 days. Gulf crude exports ran 10.7 mb/d in July, about 40% below pre-war. Effective OPEC+ spare capacity was ~0.17 mb/d on the IEA's July estimate and the August report is not out until 12 August. And **the SPR has fallen below 300 mn bbl for the first time since January 1983**, which removes the instrument that absorbed the first four months of this shock. The channel does not move on any of that: the upgrade requires a sustained close above $95 and $85.89 is not it. But the direction of the risk around this score has inverted, and oil remains the only channel with room to raise it.

(iii) Escalation risk — held at 5 (max). The downgrade candidate that opened on 4 August is now closed. Track its life: coordinates agreed and a joint statement drafted on 5 August; Trump saying no deal had been reached and the blockade stays on 6 August; and this week, Iran's Supreme National Security Council publishing **six conditions that include the withdrawal of US naval and air forces from the region and full war reparations**, its parliamentary commission approving a bill barring US and Israeli vessels and fining violators **up to 20% of cargo value with no opposing votes**, and the President of the United States describing the process as **'only semi-negotiating'** while saying he will seek compensation of his own. **Oman — the mediator on whose confirmation this entire track rested — has published nothing since 23 June**, a date this edition corrects from the 27 July carried previously. Against that, the war's kinetic top line is quiet: a twelfth consecutive session with no Tier 1-confirmed strike inside Iran, and CENTCOM's last combat release still 29 July. That quiet is not a stand-down, and the events of the weekend show why. The violence has migrated from state-on-state strikes to the waterway and to proxies: an ADNOC tanker hit and attributed to the IRGC, a Saudi refinery struck by the Houthis, Mocha port hit twice. Meanwhile Tehran **appointed a new IRGC commander-in-chief and five other senior commanders on 10 August**, and the Pentagon wrote to contractors about depleted interceptor stocks. Both sides are reconstituting for duration. A channel does not come off its maximum into that.

(iv) US inflation impulse — held at 5 (max), and the forward has walked back up to within 1.83 bp of its war record. 5Y5Y closed 2.3414% on Monday, **a ninth consecutive close above the 2.30% trigger**, clear by 4.14 bp, the highest since 31 July and 19.94 bp above the 2.142% pre-war anchor at which the downgrade sits. Six days ago this monitor flagged an open tension: the forward was 0.67 bp from surrendering the break that fired the upgrade while the documented downgrade sat 16 bp lower, and the call was to hold and say so. **That tension has now resolved in favour of the upgrade twice in a row**, and the honest reading is that holding was right on the evidence, not merely on the rule. The 10Y breakeven has done the same thing faster: 2.2755% on Monday, **back above the 2.2569% pre-war anchor** after closing below it on 4 and 5 August. What sits underneath is genuinely uncomfortable. Payrolls fell 23,000 with 103,000 of revisions and the unemployment rate still fell to 4.1% on a 61.4% participation rate; average hourly earnings rose 2 cents. That is a weakening labour market, and forward inflation compensation went UP anyway, because crude rose $7.82 on the week. **July CPI lands tomorrow** with consensus at +0.1% m/m headline and +0.2% core, and the market has cut September hike odds to 46% from 67% a week ago. A soft CPI would not resolve this channel; the forward is pricing the strait, not the print.

(v) Political stress — held at 5 (max), and the retreat is now real enough to name a condition for. AUTMUSAG backfilled 7 August at **$4.70 — a third consecutive confirmed close below the $4.75 trigger and a fifth consecutive decline**, the sequence running $4.76, $4.75, $4.74, $4.72, $4.70 from 3 to 7 August. That is not noise, and it is corroborated independently: AAA's own regular-grade national average fell to **$4.0091 on 10 August from $4.0946 a week earlier**, and its diesel average to $5.2996 from $5.3639. Under the documented rule the channel holds. The downgrade condition is a sustained retreat toward the $3.52 pre-war anchor and $4.70 is $1.18 above it; the

series is dark for 10 and 11 August, so the retreat rests on a Friday print; and the whole retail complex is lagging a crude slide that **reversed on Monday with a $4.24 move**, which will reach the pump with a one-to-two-week delay. Rather than restate the vague condition again, this edition names a testable one: **the channel should fall 5→4 on three consecutive AUTMUSAG closes at or below $4.60 with no intervening print above $4.70**, which is a reversal past a threshold meaningfully wider than the $4.75 that fired the upgrade. On the 7 August print it is 10 cents away. Against it: distillate stocks were about 12% below the five-year average at the last EIA weekly, refinery utilisation 96.5%, and Jizan's 400k b/d now out to 30 August. Refining, not crude, is still the binding constraint.
(vi) Maritime denial — held at 5 (max), and the traffic data went the wrong way. The strait is closed on day 163. **UKMTO's Update 082 records eight cargo vessel transits on 8 August, two of them tankers, against its own 138/day historical average — about 6% of normal**, and raises the Hormuz assessment to SEVERE with 'deliberate hostile action considered as highly likely'. That is a deterioration on the ~9% the 5 August Lloyd's List brief implied, and it is on the same denominator, which is the comparison this monitor insists on making explicit: Windward's 17 transits in the 24 hours to 8 August are against its own ~140/day baseline, TankerMap's zero-to-one counts are tankers only, and none of these universes may be averaged. The downgrade condition — verified traffic above 25% of normal for ten sessions — is further away than at any point since it was written. The instrument that could start that clock has moved away too: the corridor bill now before the Iranian parliament would **bar** US and Israeli vessels rather than admit them, and Oman has said nothing since June. Kharg Island's three loading terminals have been idle 18 consecutive days with about 18 dark vessels waiting offshore, which Windward reads as an export bottleneck rather than a production halt.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold A's statement leg passed benignly on 5 August; **its auction leg runs today, tomorrow and Thursday.** Threshold B is satisfied going in.

Threshold A · 13 May 30Y auction, cleared 5.050% — the auction leg is now live. Treasury held every nominal coupon size on 5 August, so the supply shock did not arrive through the announcement. It now has to arrive, or not, through demand. **$58bn of 3-year notes today at 1pm ET, $42bn of 10-years tomorrow alongside July CPI, and $25bn of 30-years on Thursday**, all settling 17 August — $125bn refunding about $96.3bn of maturing paper and raising roughly $28.7bn of new cash. The 10 August 30Y close of 5.2510% is **20.10 bp above the May stop**, against 11.80 bp on 5 August; the compression this monitor recorded a week ago has been fully given back and then some. The 9 July re-opening cleared 5.06% with a 0.3 bp stop-through, so there is a recent precedent for the long end absorbing supply at these levels — but not with crude up $7.82 on the week and a CPI print landing between the 10-year and the 30-year. The specific sequence that would make this threshold live rather than historical is now simply a tail on Thursday.
Threshold B · 30Y above 5.20% with 10Y above 4.65% — SATISFIED on the 10 August close, and satisfied INTO the auction. The 30Y closed 5.2510% and the 10Y 4.7067%, clearing both legs by 5.10 and 5.67 bp. It failed on the 7 August close, when the 10Y at 4.6454% missed its leg by 0.46 bp while the 30Y held above 5.20%, so this is a one-session gap in an otherwise near-continuous fortnight. **The threshold has now cycled three times in a fortnight** — satisfied 29 July to 3 August, unsatisfied 4 and 5 August, satisfied 6 August, unsatisfied 7 August, satisfied 10 August. Two readings follow, and this monitor holds both. A test that flips this often is measuring a long end sitting on its trigger rather than breaking through it, which argues against over-reading any single satisfaction. And a test that is satisfied on the Monday before a 30-year auction is in the configuration where a bad Thursday does the most damage, which argues against dismissing it. The fiscal arithmetic underneath has not changed: Treasury still needs $68bn more this quarter than it projected in May and has chosen to fund it in bills and buybacks.
Threshold C · MOVE above 130 — far off, and the interesting number is at the other end. MOVE closed 75.46 on 10 August, up 3.43, which is 54.54 points below the threshold and 39.56 below the 115.02 war high of 26 March. C is not close and has not been for four months. The observation that matters is the one at 75: **Friday's 72.03 close satisfied the Treasury downgrade's volatility leg for the second time in the war, and for the second time it survived exactly one session.** Rates volatility is being pushed under the line by individual macro sessions — a payrolls miss on Friday, a risk-off equity session on 5 August — and pulled back above it by the next day's crude or supply news. At 75.46 the index is only 2.08 points above its pre-war anchor while the 30-year sits 64.04 bp above its own. That gap between a normalised volatility surface and an un-normalised term premium is the single most durable feature of this market, and it is what makes Thursday's auction worth watching: it is priced for calm at a yield that is anything but.

2.3 · Cross-asset

Two sessions, two opposite steepenings, and the reconciliation between them is the whole cross-asset story. **Friday was a front-end-led bull steepener**: payrolls at –23,000 with 103,000 of revisions took the 2-year down 5.02 bp, MOVE to 72.03 and VIX to **14.90, the lowest close of the entire war**, while the 30-year fell only 2.34 bp. That is a market repricing near-term Fed risk, not buying duration. **Monday was a long-end-led bear steepener**: the 10-year rose 6.13 bp and the 30-year 5.02 bp against 4.58 bp at the front, on crude up $4.24, $125bn of supply arriving and CPI two days out. 2s10s finished at **+46.358 bp, the steepest since 21 May**, having got there twice in three sessions for contradictory reasons. Underneath, the routing signature held and then started to bend. Henry Hub at $2.768 is still 9.6% BELOW pre-war — it set a war low of $2.640 on 6 August — while **TTF at €61.650 is 97.4% above pre-war, within €2.00 of doubling, and within €2.851 of its war record**, and Asia LNG is 101.3% above. US gas is still not participating; European and Asian gas are the whole shock. The dollar did nothing at all: 99.815 this morning, 99.811 on Monday's close, 0.09 lower on the week, trading as a rates proxy rather than a haven through a week that contained a tanker strike and a refinery fire. **The reading to take is that the risk premium has gone back into oil and European gas and has not gone into volatility, the dollar or equities** — VIX set a war low three days after a missile hit a tanker in the Strait of Hormuz.

3 · Shock score

Total: 27/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max), and the traffic data DETERIORATED. Strait closed, day 163. **UKMTO Update 082 (9 Aug) records eight cargo transits on 8 Aug, two of them tankers, against its own 138/day historical average — about 6% of normal**, down from ~9% on the same denominator a week ago, and raises Hormuz to SEVERE, 'deliberate hostile action highly likely'. Windward 17 transits in the 24h to 8 Aug against its ~140/day baseline, 6 fully dark; TankerMap 0 tankers on 7, 9 and 10 Aug. Kharg Island's three loading terminals idle 18 consecutive days.	↑ at max. ↓ verified reopening with traffic above 25% of normal for 10 sessions → to 3–4. Further away than at any point since written; the Iranian bill would BAR US and Israeli vessels, not admit them.
Oil price shock	2/5	Held at 2 — and the question has inverted. Last confirmed close **$85.89 (10 Aug), +$4.24 on the session and +$7.82 on the week, the highest since 31 Jul**. That is **$9.11 below the $95 upgrade trigger and $13.41 above the $72.48 anchor**, against $17.14 and $5.38 six days ago. Physical: a tanker struck inside the strait, transits at ~6% of normal, Jazan's 400k b/d slipped to 30 Aug, Kharg idle 18 days, Gulf exports 10.7 mb/d in July (~40% below pre-war), spare capacity ~0.17 mb/d, and the **SPR below 300 mb for the first time since Jan 1983**.	↑ Brent above $95 sustained → to 3. **$9.11 away and closing.** ↓ mediated pause + close at/below $72.48 → to 1. Both legs of the downgrade have moved away; the pause leg is denied by both governments.
US inflation impulse	5/5	Held at 5 (max). 5Y5Y closed 2.3414% on 10 Aug — **a NINTH consecutive close above the 2.30% trigger**, clear by 4.14 bp, highest since 31 Jul and 1.83 bp off the war record. BE10 closed 2.2755%, **back ABOVE the 2.2569% pre-war anchor**. The 5 Aug tension resolved in favour of the upgrade for a second time. Underneath: payrolls –23k with 103k of revisions, unemployment still falling to 4.1%, and forward compensation rising anyway because crude rose $7.82. CPI lands 12 Aug.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (19.94 bp away, WIDER than the 16.47 bp of 5 Aug).
Treasury stress	5/5	Held at 5 (max). **The volatility leg was satisfied on Friday and lost on Monday — the second time in four sessions.** MOVE closed 72.03 on 7 Aug, lowest since 17 Jul and below the 75 line, then 75.46 on 10 Aug, +3.43 and back above it. The 30Y leg is nowhere: 5.2510%, **25.10 bp above the 5.00% line** and the highest close since 31 Jul. **Threshold B is satisfied going INTO the 30Y auction on 13 Aug**, with the 30Y 20.10 bp above the 13 May stop and $125bn of coupons pricing this week.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 **sustained** → to 4. Both legs fail and both are wider than a week ago; a one-session satisfaction is not a sustained one, now demonstrated twice.
Political stress	5/5	Held at 5 (max), with a real retreat under way and a named condition for acting on it. AUTMUSAG backfilled 7 Aug at **$4.70 — a third consecutive close below the $4.75 trigger and a fifth consecutive decline** ($4.76 / $4.75 / $4.74 / $4.72 / $4.70). Corroborated: AAA regular-grade $4.0091 on 10 Aug from $4.0946 a week earlier. Against it: dark 10 and 11 Aug, and Monday's $4.24 crude move has not reached the pump. Distillate ~12% below the 5-yr average, utilisation 96.5%, Jizan out to 30 Aug.	↑ at max. ↓ **NAMED THIS EDITION: three consecutive AUTMUSAG closes at or below $4.60 with no intervening print above $4.70 → to 4.** Currently 10 cents away. The $3.52 anchor remains the reference for a further fall to 3.
Escalation risk	5/5	Held at 5 (max). **The downgrade candidate opened on 4 Aug is CLOSED.** Iran's SNSC published six conditions including **US withdrawal from the region and full war reparations**; its parliamentary commission approved the Hormuz bill framework **with no opposing votes and fines to 20% of cargo value**; Trump: **'only semi-negotiating'**. Oman has published nothing since 23 June. Twelfth session with no Tier 1-confirmed strike inside Iran — but a missile hit an ADNOC tanker (UAE blames the IRGC), the Houthis hit Jazan, and Tehran named a new IRGC commander-in-chief on 10 Aug.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Requires a published instrument, mediator confirmation and a sustained no-casualty window. All three moved further away.
TOTAL	27/30	CRISIS band — **HELD, fifth consecutive edition.** Five of six channels are maxed and only oil, at 2/5, can raise this number. **The total is unchanged and the composition has inverted:** a week ago the live questions were an oil downgrade and an escalation downgrade; today oil is $9.11 from an UPGRADE, the escalation downgrade is closed, transits are at ~6% of normal, and Threshold B is satisfied two days before a 30-year auction. A flat 27 this week is a worse 27 than last week's.	

4 · What's changed since the last edition (7 Aug AM → 11 Aug AM)

A four-session window with no Monday edition. Score holds at 27/30; no channel moved. A tanker struck inside the strait and attributed to the IRGC. Jazan hit and its restart delayed. Iran publishes six conditions. Payrolls –23,000. Brent +$7.82 on the week. Threshold B re-satisfied into auction week. Source: Bloomberg unless stated.

A missile hit an ADNOC tanker inside the Strait of Hormuz on 8 August and the UAE publicly blamed the IRGC. UKMTO logged it as incident 108-26: ADNOC confirmed a vessel attacked in the early morning of 8 August, fire confirmed and extinguished, no crew injuries, and the vessel completed its transit and returned to Fujairah. The UAE foreign ministry called it an act of piracy by the IRGC and said using the waterway as a tool for pressure or economic blackmail threatened regional stability and global energy security. ADNOC says 15 of its vessels have been attacked since the conflict began, with one crew member killed and 20 injured cumulatively. The GCC Secretary-General condemned it in the strongest terms, with parallel statements from Saudi Arabia, Qatar and Jordan. This is the first direct, public attribution of a strait attack to the IRGC by a Gulf government in this war. Source: UKMTO, UAE MFA, GCC Secretariat, Al Jazeera, CNBC.

The Houthis struck Saudi Aramco's Jazan refinery on 9 August, and the restart slipped to 30 August. Houthi spokesman Yahya Saree claimed a precise drone strike on the refinery as retaliation for Saudi overflights of Saada and Hajjah — a combatant claim, Tier 3 — but the Saudi energy ministry independently confirmed a fire at the facility, no casualties, subsequently extinguished, cause unspecified. Aramco chief executive Amin Nasser said recent attacks had caused some production interruptions with no material operational or financial impact.

Separately, Reuters and Bloomberg reported on 10 August that an IIR alert shows Aramco has delayed the restart of the 400,000 b/d Jizan refinery from about 15 August to 30 August, citing damage from the 27 July attack on the IGCC complex and tank farm; the 80,000 b/d reformer has been offline since 27 May. Aramco did not comment. The Houthis also struck Yemen's Mocha port twice on 9–10 August, killing seven. Source: Al Jazeera, NPR, NBC, Saudi energy ministry, Reuters and Bloomberg citing IIR.

Iran published six conditions for reopening the strait, and Trump said the US is 'only semi-negotiating'. Iran's Supreme National Security Council, via outgoing secretary Mohammad Baqer Zolqadr, set out six demands: an end to threats and insults; a permanent end to the war on Iran and its allies in Lebanon, Palestine, Yemen and Iraq; lifting the naval blockade and withdrawing US naval and air forces; full war reparations; lifting sanctions; and unconditional release of frozen assets. Trump's reply to Axios on 10 August: 'We are only semi-negotiating with them. We are just watching Iran with its huge inflation,' adding the US would seek compensation for people Iran had killed. Araghchi separately called the Oman arrangement 'very close', while the IRGC's Hossein Mohebbi said reopening 'has nothing to do with the negotiations between Iran and Oman'. Source: CBS News, Axios, Time, Al Jazeera.

Iran's parliamentary security commission approved the Hormuz bill framework with no opposing votes — at 20% of cargo value. On 9 August the National Security and Foreign Policy Commission approved the general framework of a bill titled 'Strategic Action for Ensuring Security and Sustainable Development of the Strait of Hormuz and the Persian Gulf', tasking the government and armed forces with maritime security, navigational safety and environmental protection and proposing a blanket ban on vessels owned or flagged by the United States, Israel or other hostile states. Fines run to 20% of cargo value — correcting the 7% figure carried on 7 August. It has not reached the floor, the Guardian Council has not acted, and the government has not disowned it. Source: IRNA (Tier 3), NPR, Al-Monitor, Iran International.

July payrolls printed −23,000 with 103,000 of downward revisions, and September hike odds fell to 46%. The BLS Employment Situation released 8:30am ET on 7 August showed payrolls falling 23,000 against consensus of +83k to +97.5k; unemployment fell to 4.1% against 4.2% expected; average hourly earnings rose 2 cents, +3.2% y/y; participation 61.4%. May was revised from +129k to +63k and June from +57k to +20k, a combined −103k. Local government education fell 50k, retail 19k and financial activities 14k. CME FedWatch put a September hike at 46% as of 09:17 ET on 10 August, down from 67% a week earlier — this reading is properly dated, superseding the mis-dated ~56% figure the monitor carried. Source: BLS, Charles Schwab citing CME FedWatch, Yahoo Finance.

Brent rose $7.82 on the week to its highest close since 31 July, and Threshold B was re-satisfied into auction week. Monday's $85.89 close was up $4.24 on the session, the largest one-day gain since 29 July. The 30Y closed 5.2510% and the 10Y 4.7067%, both the highest since 31 July, clearing the Stage-4 legs by 5.10 and 5.67 bp after failing on the 7 August close. 2s10s finished at +46.358 bp, the steepest since 21 May, having steepened on Friday as a front-end-led bull steepener on payrolls and on Monday as a long-end-led bear steepener on crude and supply. $125bn of coupons price on 11, 12 and 13 August, settling 17 August. Source: Bloomberg; US Treasury sb0590.

The SPR fell below 300 million barrels for the first time since January 1983. DOE weekly data reported on 10 August put the Strategic Petroleum Reserve at 298.7 million barrels, down 6.1 million on the week and roughly 116 million below its mid-March level, when a release of up to 172 million barrels was authorised to offset the Hormuz disruption. The level supersedes the 304.8 mb the monitor carried from the 5 August EIA weekly. The next Weekly Petroleum Status Report is due 12 August. Source: CNBC citing DOE.

The 7 August Iraqi militia deadline passed without an attack, and a three-way defence pact was signed in Mecca. Badr Organisation leader Hadi al-Ameri issued a video statement telling fighters to postpone any reaction to the American-Saudi strikes; Iraq raised its national alert level and Iraqi FM Fuad Hussein had met his Saudi counterpart on 5 August. No Islamic Resistance in Iraq attack or statement followed. Separately Turkey, Saudi Arabia and Pakistan signed a joint defence agreement on 7 August in MECCA — not Jeddah as AFP pre-reported — under which armed aggression against any signatory is regarded as an attack on all; a Turkish official called it defensive and not directed at any specific actor. Iran issued no official response. Source: Al Jazeera, The National, ISW/Critical Threats.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal collapse — talks stall on terms	36%	Higher, and modal for a second edition. This is no longer a forecast so much as a description. Iran has published six conditions including US withdrawal from the region and full war reparations; its parliamentary commission has approved a bill barring US and Israeli vessels with fines to 20% of cargo value, unopposed; Trump says the US is 'only semi-negotiating'; and Oman, the mediator, has published nothing since 23 June. The gap is no longer about trust or sequencing — the two published positions are incompatible on their face.	Brent $88–105; oil to 3 on a sustained break; Threshold B holds; score 28.
Return to full war	26%	Lower for a third edition, and the reasons are capacity rather than intent. Twelve consecutive sessions with no Tier 1-confirmed strike inside Iran; CENTCOM's last combat release is 29 July; the Pentagon wrote to contractors on 9 Aug urging accelerated production, citing depleted interceptor stockpiles. Against that, Tehran appointed a new IRGC commander-in-chief and five other senior commanders on 10 Aug — both sides are reconstituting for duration rather than settling.	Brent $105–140; MOVE above 90; oil to 3–4; score 28–29 (only oil can rise).
Contained but violent — blockaded stalemate	19%	Higher, and this is what the week actually looked like. The strait is shut on day 163 at ~6% of normal traffic and UKMTO threat level SEVERE; a tanker was struck inside it and attributed to the IRGC; a Saudi refinery was hit; Mocha port was hit twice — and there was no state-on-state exchange and no move in the score, because five of six channels are pinned at 5. The path in which the violence migrates to the waterway and to proxies while the headline war stays quiet.	Brent $80–95; MOVE 72–82; risk premium $8–20/bbl; score holds 27.
Regional relapse — Gulf energy infrastructure hit	13%	Higher, because it has partially happened. The Saudi warning of 6 Aug — imminent coordinated attacks on Gulf energy infrastructure — was realised on its Houthi leg at Jazan on 9 Aug, though not on its Iraqi-militia leg, and Aramco reports no material impact. Exposure is worse than a week ago: Jizan out to 30 Aug, Abqaiq and Damietta unreported since 30 Jul, spare capacity ~0.17 mb/d, Kharg idle 18 days, and the SPR below 300 mb.	Brent $150+; emergency policy response; HY spreads above 500 bp; score 29–30.
Mediated pause — the strait reopens	6%	Sharply lower — the largest single fall in this map since it was created, and the lowest this line has been. The corridor track that carried it has been overtaken by six conditions, a fee bill and a President describing the process as semi-negotiation. Oman has not spoken in seven weeks. Nothing here is impossible; there is simply no longer a sourced instrument, a confirmed mediator or a stated overlap between the two positions.	Brent $70–80; MOVE under 75; maritime→3–4 on verified traffic, oil→1, escalation→4; score falls toward 21–23.

Probability shifts from the 7 Aug edition: **mediated pause –6 (12→6), the largest single fall this map has recorded**, on six conditions, an unopposed fee bill and seven weeks of Omani silence; deal collapse +3 (33→36) and modal for a second edition; contained-but-violent +3 (16→19), because that is what the week was; regional relapse +2 (11→13), because the Saudi warning was partially realised at Jazan; full war –2 (28→26) on twelve sessions without a confirmed strike and reported munitions constraints on both sides. Probabilities sum to 100. **The map has now moved decisively away from de-escalation for the first time since 30 July, and the two paths that have gained are the two in which the strait stays shut.**

6 · Watchlist · next 24 to 72 hours

The 30-year refunding leg on Thursday 13 August — with Threshold B satisfied going in. This is the live Stage-4 test and everything about the setup has worsened since the statement passed on 5 August. $25bn of 30-years prices at 1pm ET Thursday, after $58bn of 3-years today and $42bn of 10-years tomorrow, all settling 17 August. The 10 August 30Y close of 5.2510% is 20.10 bp above the 13 May stop of 5.050%, against 11.80 bp on 5 August. The 9 July re-opening cleared 5.06% with a 0.3 bp stop-through, so recent precedent is benign — but that was without crude up $7.82 on the week and without a CPI print landing between the 10-year and the 30-year. A tail on Thursday re-arms Threshold A.

July CPI tomorrow, 12 August — and it lands between two auctions. Consensus is +0.1% m/m and 3.4% y/y headline, +0.2% m/m and 2.5% y/y core, with BofA calling core the lowest since January. The market has cut September hike odds to 46% from 67% a week ago on payrolls of –23,000 and 103,000 of revisions. What makes this print awkward is the sequencing: it is released the morning of the 10-year auction and the day before the 30-year, and 5Y5Y at 2.3414% says forward inflation compensation is pricing the strait rather than the CPI basket. A soft print that does not move the forward would be the more informative outcome.

AUTMUSAG's next print, against the condition named in this edition. The scored series has three consecutive closes below the $4.75 trigger and five consecutive declines, ending at $4.70 on 7 August, and is dark for 10 and 11 August. This edition names the downgrade condition rather than restating a vague one: three consecutive closes at or below $4.60 with no intervening print above $4.70 takes the channel to 4. That is 10 cents away. Weighing against it: Monday's $4.24 move in crude reaches the pump with a one to two week lag, distillate stocks were ~12% below the five-year average, utilisation is 96.5% and Jizan is out to 30 August. The EIA weekly retail print for the week to 10 August had not posted at this snapshot.

Whether the Hormuz fee bill reaches the floor — and whether Tehran's government distances itself from it. The parliamentary commission approved the framework on 9 August with no opposing votes, at fines up to 20% of cargo value and a blanket ban on US, Israeli and other hostile-state vessels. It has not passed the floor, the Guardian Council has not reviewed it, and no Iranian government official has disowned it. Each of those is a distinct, checkable event. A floor vote would make the corridor arrangement legally incoherent with the Axios terms; a government disavowal would be the first genuine evidence in a fortnight that the negotiating track survives. Watch also for any Omani statement at all — fm.gov.om has published nothing on Iran since 23 June.

Whether the ADNOC strike repeats, and how far the Gulf response hardens. The 8 August attack is the first in this war that a Gulf government has publicly and directly attributed to the IRGC, and the GCC, Saudi Arabia, Qatar and Jordan all condemned it. ADNOC now counts 15 of its vessels attacked since the conflict began. A second attributed strike would put the UAE in the position Saudi Arabia was in after Jazan, with the Mecca defence pact signed four days ago and its attack-on-one clause untested. Watch for UKMTO advisories after Update 082 of 9 August — 081 and 083 could not be retrieved — and for any change to the Joint War Committee listed area.

Three institutional publications land in 48 hours, and one is a revision event. The EIA Short-Term Energy Outlook is due today: its July edition assumed the 18 June memorandum reopened the strait and put Brent at $74/bbl in 3Q26, an assumption the last four days have falsified, so the revision is the interesting part rather than the level. The EIA Weekly Petroleum Status Report and the IEA Oil Market Report both land on 12 August — the IEA's first update to the ~0.17 mb/d effective spare capacity figure this monitor has been carrying since 10 July. The August OPEC MOMR date could not be confirmed. Also unresolved and carried rather than closed: Minoan Pioneer attribution and its missing third engineer, the 6 August Kumzar explosions, and the contested Qeshm incident.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 157 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; **last confirmed close $85.89 / $81.16 on 10 Aug, the highest Brent close since 31 Jul**, intraday $85.75 / $81.16 with a Brent high of 86.07 and low of 85.55); COA/CLA Comdty (active, unscored — $87.78 / $82.24, a $5.54 spread, widest since 31 Jul); NGA ($2.768 intraday, the 10 Aug close of $2.794 the highest since 24 Jul, against the $2.640 war low of 6 Aug), TZTA (€61.650 intraday, the 10 Aug close of €60.798 the highest since 24 Jul and €2.851 below the 24 Jul war record) and JGLA (**7 Aug BACKFILLED at ¥3,417**; ¥3,359 on the 10 Aug close; no 11 Aug print, flagged not carried); USGG2YR/5YR/10YR/20YR/30YR (**no 11 Aug print anywhere on the curve — the 10 Aug close governs: 30Y 5.2510% and 10Y 4.7067%, both the highest since 31 Jul and both back above their Stage-4 legs**); USYC2Y10 (+46.358, the steepest since 21 May); USGGBE10 (2.2755, back above the 2.2569 pre-war anchor and the highest since 31 Jul); USGG5Y5Y (2.3414 on the 10 Aug close, a ninth consecutive close above the 2.30% trigger — **the 6 Aug close was the seventh of this run, not the eighth as reported that day; the count is corrected**. The 11 Aug field shows 2.3414, identical to four decimal places, and is treated as a stale carry rather than a print); SOFRRATE (3.62 on the 7 Aug close, itself a backfill; no 10 or 11 Aug print); MOVE (**72.03 on the 7 Aug close, the lowest since 17 Jul and BELOW the 75 downgrade leg for the second time in the war, then 75.46 on 10 Aug, +3.43 and back above it**; no 11 Aug print) and VIX (**14.90 on the 7 Aug close, the lowest of the entire war**, then 15.46 on 10 Aug; no 11 Aug print); DXY (99.811 close, 99.815 intraday); AUTMUSAG (AAA all-grades pump — score reference; **7 Aug BACKFILLED at $4.70, a third consecutive close below the $4.75 trigger and a fifth consecutive decline**; blank 10 and 11 Aug) and USRFRUSA (DOE regular spot, weekly — corroboration; $4.079 for the week to 3 Aug, no new release at this snapshot).
Data-integrity note: the stale-row check clears. The 7 Aug row refreshed with true closes differing materially from the intraday values published for it (Brent $81.65 against $80.93, +$0.72; TTF €55.544 against €58.400, –€2.856; MOVE an actual 72.03 against a carried 76.12, –4.09; DXY 99.539 against 99.990), and the 10 Aug row is a full print. Three series backfilled: JGLA and AUTMUSAG and SOFRRATE, all for 7 Aug. **This edition follows a four-session gap and no Monday edition was produced**, so the 10 Aug close is reported in full rather than as a d/d reference. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. UKMTO (JMIC Advisory Note Update 082 of 9 Aug: incident 108-26, the ADNOC tanker attacked early on 8 Aug with fire extinguished, no injuries and the transit completed to Fujairah; Strait of Hormuz raised to SEVERE with 'deliberate hostile action considered as highly likely under current conditions', Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL, Arabian Gulf MODERATE; **eight cargo vessel transits on 8 Aug, two of them tankers, against a 138/day historical average**; advice to avoid extended AIS-on periods while stationary. Updates 081 and 083 could not be retrieved). **UAE Ministry of Foreign Affairs** (the 8 Aug attack described as an act of piracy by the IRGC; the waterway used 'as a tool for pressure or economic blackmail'). **ADNOC** (15 of its vessels attacked since the conflict began, one crew member killed and 20 injured cumulatively). **GCC Secretariat** (condemnation of 8 Aug, with parallel Saudi, Qatari and Jordanian statements). **Al Jazeera, NPR, NBC News and CNN** (the 9 Aug Houthi drone claim on Jazan via spokesman Yahya Saree; the Saudi energy ministry confirming the fire, no casualties, extinguished; Aramco chief executive Amin Nasser on 'some production interruptions' with no material impact; the Houthi strikes on Mocha port on 9–10 Aug killing seven). **Reuters and Bloomberg** (10 Aug, citing an IIR alert: **Aramco has delayed the 400k b/d Jizan restart to 30 August** from about 15 August, on damage to the IGCC complex and tank farm from the 27 July attack, with the 80k b/d reformer offline since 27 May; Aramco did not comment). **CBS News, Time and Al Jazeera** (Iran's Supreme National Security Council, via Mohammad Baqer Zolqadr, publishing six conditions: no threats or insults; a permanent end to the war on Iran and its allies in Lebanon, Palestine, Yemen and Iraq; lifting the naval blockade and withdrawing US naval and air forces; full war reparations; lifting sanctions; unconditional release of frozen assets). **Axios** (Trump, 10 Aug: 'We are only semi-negotiating with them. We are just watching Iran with its huge inflation', plus a US claim for compensation). **NPR and Al-Monitor** (the Iranian bill's ban on US, Israeli and other hostile-state vessels and **fines up to 20% of cargo value**); **IRNA (Tier 3)** (the National Security and Foreign Policy Commission approving the framework on 9 Aug with no opposing votes, announced by Hassan Qashqavi). **Al Jazeera** (Araghchi on 8 Aug that the arrangement is 'very close'; IRGC spokesman Hossein Mohebbi that reopening 'has nothing to do with the negotiations between Iran and Oman'). **Oman Ministry of Foreign Affairs** (fm.gov.om checked directly: the most recent Iran-related publication is the joint statement of **23 June**). **BLS** (July Employment Situation, 7 Aug: payrolls –**23,000**; unemployment 4.1%; average hourly earnings +2 cents and +3.2% y/y; participation 61.4%; May revised +129k to +63k and June +57k to +20k, a combined –103k; local government education –50k, retail –19k, financial activities –14k, health care +22k). **Charles Schwab citing CME FedWatch** (September hike probability **46% at 09:17 ET on 10 Aug**, from 67% a week earlier); Yahoo Finance and briefs.co (40–44% on 7 Aug from fed funds futures). **US Treasury** (press release sb0590: $125bn August refunding, 3Y $58bn on 11 Aug, 10Y $42bn on 12 Aug, 30Y $25bn on 13 Aug, all settling 17 Aug, refunding ~$96.3bn and raising ~$28.7bn new cash; buybacks up to $38bn off-the-run plus $25bn cash management).
CNBC citing DOE (**the SPR at 298.7 mn bbl on 10 Aug, –6.1 mn on the week and the lowest since January 1983**, ~116 mn below mid-March). **EIA** (Weekly Petroleum Status Report of 5 Aug for the week to 31 Jul — crude 407.0 mb, gasoline 209.7 mb, distillate 107.2 mb and ~12% below the five-year average, utilisation 96.5%; next WPSR 12 Aug; the Gasoline and Diesel Fuel Update for the week to 3 Aug at

regular $4.079 and on-highway diesel $5.348, with the week to 10 Aug not posted at this snapshot; the Short-Term Energy Outlook due 11 Aug, its July edition having assumed the 18 June memorandum reopened the strait with Brent at $74/bbl in 3Q26). **IEA** (August Oil Market Report due 12 Aug; the ~0.17 mb/d effective spare capacity figure still dates from the 10 July report). **AAA** (regular $4.0091 and diesel $5.2996 on 10 Aug, against $4.0946 and $5.3639 a week earlier and $3.8835 and $4.8521 a month earlier). **Al Jazeera and Atlantic Council** (Turkey, Saudi Arabia and Pakistan signing a joint defence agreement on 7 Aug **in Mecca**, under which aggression against one is an attack on all; a Turkish official calling it defensive and not directed at any specific actor; no official Iranian response). **The National and ISW/Critical Threats** (the 7 Aug Iraqi militia deadline passing without attack after Badr's Hadi al-Ameri told fighters to postpone; Iraq raising its alert level). **CENTCOM** (no combat release since 29 July; the only August item is a 5 Aug change of command). **CNN and NPR** (a Pentagon memo of 9 Aug urging defence contractors to accelerate production, citing depleted interceptor stockpiles). **Kpler** (8 confirmed Hormuz crossings on 7 Aug, –33% d/d, most via the Iranian unilateral scheme), **Windward** (17 transits in the 24 hours to 8 Aug, 8 inbound and 9 outbound, against its own ~140/day pre-war baseline, 6 fully dark; **Kharg Island's three loading terminals idle 18 consecutive days** with ~18 dark vessels waiting offshore, read as an export bottleneck rather than a production halt; 24+ sanctioned vessels at Hormuz anchorage) and **TankerMap** (zero tanker transits on 7, 9 and 10 Aug, one on 8 Aug). **Reuters citing Kpler and Vortexa** (Gulf crude exports 10.7 mb/d in July, ~40% below pre-war, with Kuwait rising to 1.971 mb/d and Saudi Arabia and the UAE both declining). **Marsh via S&P Global Commodity Insights** (Hormuz hull war risk 7.5–10% of hull value as of 22 July, the most recent named-underwriter figure; nothing dated 7–11 Aug could be sourced).

Tier 3 — state media and combatant claims (labelled). The Houthi claim of a precise drone strike on Jazan is a combatant claim from spokesman Yahya Saree, though the fire itself was independently confirmed by the Saudi energy ministry, which lifts the event out of pure combatant-claim status even though the attribution does not follow. IRNA carried the 9 Aug parliamentary commission approval. No Tier 1 outlet confirmed that the Jazan strike was IRGC-supervised, and that link is not made here. **Corrections and re-verifications this edition:** (i) the Hormuz bill's penalty is **up to 20% of cargo value**, not the 7% carried on 7 Aug (NPR 7 Aug and Al-Monitor 6 Aug both give 20%; the 7% figure did not reappear in this window); (ii) the three-way defence pact was signed **in Mecca**, not Jeddah as AFP pre-reported; (iii) **Oman's most recent Iran-related publication is 23 June, not 27 July** as previously recorded — fm.gov.om checked directly for a fourth consecutive edition; (iv) the Jizan restart is **30 August**, not about 15 August, on an IIR alert now carried by Reuters and Bloomberg rather than third-party intelligence alone, though Aramco has still never confirmed any timetable; (v) the 5Y5Y run above the 2.30% trigger was **miscounted by one** on 6 August — that close was the seventh of the run, not the eighth, and the 10 August close is the ninth; (vi) the SPR level of 304.8 mb is superseded by **298.7 mb**; (vii) the September hike probability is now properly dated at **46% on 10 August from CME FedWatch via Schwab**, superseding the mis-dated ~56% figure; (viii) the IMF PortWatch transit figure quoted in earlier editions reached this monitor only via straits.live and could not be retrieved from portwatch.imf.org directly, so it is **not used** in this edition; the straits.live war-risk figures remain retracted. **Unresolved and carried, not closed:** the Minoan Pioneer's attribution, salvage and missing third engineer produced no reporting after 7 Aug; the 6 Aug Kumzar explosions have no attribution; and the contested Qeshm incident of late 6 Aug — Tasnim and Fars claiming Iranian forces engaged hostile targets against Hormozgan deputy governor Ahmad Nafisi denying any incident — was never resolved.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (11 Aug, Tuesday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; DXY resolves as DXY Index). **This edition follows a four-session gap — the last was 7 Aug and no Monday edition was produced**, so the 10 Aug close is a full, never-published print and is reported as such. The stale-row integrity check CLEARS: the 7 Aug row refreshed with true closes differing materially from the values published for it (Brent $81.65 vs $80.93; TTF €55.544 vs €58.400; MOVE an actual 72.03 vs a carried 76.12). Three series BACKFILLED, all for 7 Aug: JGLA ¥3,417, AUTMUSAG $4.70 and SOFRRATE 3.62. **No 11 Aug print for the entire UST curve, MOVE, VIX, SOFR, JGLA or either gasoline series**; the 5Y5Y field shows 2.3414, identical to the 10 Aug close to four decimals, and is treated as a stale carry rather than a reading.
2	Recompute deltas	Oil, gas and DXY: d/d vs the 10 Aug close, w/w vs the 4 Aug close (five sheet-rows back). Rates and volatility: the 10 Aug close is the latest available, so d/d is 10 Aug vs 7 Aug and w/w is 10 Aug vs 3 Aug — the two bases differ by one session and are labelled separately in the tables. vs-pre-war against the 27 Feb 2026 anchor, re-verified field by field and unchanged.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. **No channel moved; the score holds at 27/30 for a fifth edition.** Oil held at 2 (last close $85.89 — **$9.11 below the $95 upgrade trigger and $13.41 above the anchor**; the downgrade question is closed and the upgrade is the live one). US inflation held at 5 (5Y5Y 2.3414%, a ninth consecutive close above 2.30%, 19.94 bp above the downgrade anchor). Treasury held at 5 — the MOVE leg was satisfied at 72.03 on 7 Aug and lost at 75.46 on 10 Aug, the second one-session satisfaction in four sessions; the 30Y leg fails by 25.10 bp. Political held at 5 on a real but stale retreat, with a **named downgrade condition set this edition**. Maritime and escalation are event-based and both maxed; the escalation downgrade candidate opened on 4 Aug is now closed.
4	Reconcile against the prior edition	The 7 Aug close ran ABOVE my Friday snapshot on crude and BELOW it on rates and volatility. Brent $81.65 vs a published $80.93 (+$0.72); WTI $77.15 vs $76.58 (+$0.57); COA $83.55 vs $83.16; Henry Hub $2.662 vs $2.620; **TTF €55.544 vs €58.400 (–€2.856)**; 30Y 5.2008% vs 5.2199% (–1.91 bp); 10Y 4.6454% vs 4.6739% (–2.85 bp); 2Y 4.1952% vs 4.2452% (–5.00 bp); 2s10s +44.808 vs +42.451 (+2.36 bp); BE10 2.2537% vs 2.2511%; 5Y5Y 2.3371% vs 2.3337%; DXY 99.539 vs 99.990 (–0.451); **MOVE an actual 72.03 vs a carried 76.12 (–4.09)**; VIX 14.90 vs a carried 15.15. Running Brent snapshot-to-close gap series: –$0.84, +$1.97, –$0.47, –$3.99, +$0.10, +$2.26, **+$0.72**.
5	Update scenarios and watchlist	Re-rank catalysts: the 30Y refunding leg on 13 Aug with Threshold B satisfied going in; July CPI on 12 Aug, landing between the 10-year and 30-year auctions; AUTMUSAG's next print against the newly named $4.60 condition; whether the Hormuz fee bill reaches the floor and whether Tehran's government disowns it; whether the ADNOC strike repeats and how far the Gulf response hardens; and three institutional publications in 48 hours, of which the EIA STEO is a revision event. Mediated pause 12→6, deal collapse 33→36, contained-but-violent 16→19, regional relapse 11→13, full war 28→26.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold. Two applications this edition are worth stating explicitly. **Political stress:** the scored series has now spent three consecutive closes below the trigger that fired its upgrade, which is a real retreat and is reported as one — but the documented downgrade referred vaguely to a 'sustained retreat toward $3.52', which is not a testable rule. This edition replaces it with one: **three consecutive AUTMUSAG closes at or below $4.60 with no intervening print above $4.70 takes the channel to 4**, a reversal past a threshold 15 cents wider than the $4.75 that fired the upgrade. **Treasury stress:** the volatility leg has now been satisfied on a single close and given back the next session twice in four sessions (5 and 7 August). A leg satisfied by one macro session is not satisfied in the sense the rule intends, and this is recorded as a standing interpretation rather than re-litigated each time.

Scale cap — binding on five of six channels, and this week it hid a genuine deterioration. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, Treasury since 14 July, US inflation since 31 July and political stress since 4 August. **Only oil, at 2/5, retains any upward range** — three points in a thirty-point scale. In the four sessions covered by this edition a missile struck a tanker inside the Strait of Hormuz and a Gulf government attributed it to the IRGC, the Houthis hit a Saudi refinery, transits fell to about 6% of normal, Iran published conditions requiring US withdrawal and reparations, its parliament advanced a bill fining transit at up to 20% of cargo value, Brent rose $7.82 and the SPR fell below 300 million barrels for the first time since 1983 — **and the score could not move a single point**, because the only channel with headroom needs Brent above $95. The 30 July edition remains the reference case for this failure mode and this one now joins it. A flat 27 is a saturated scale, not a stable situation, and readers should weight the composition commentary in section 3 at least as heavily as the total.

Data integrity this edition. The stale-row check clears: the 7 August row refreshed with true closes differing materially from the intraday values published for it, and the 10 August row is a complete print. Three series backfilled, all for 7 August — JGLA at ¥3,417, AUTMUSAG at $4.70 and SOFRRATE at 3.62. **The 11 August row carries oil, gas and the dollar only:** the entire Treasury curve, MOVE, VIX, SOFR, Asia LNG and both gasoline series have no print, so every rate and volatility figure in this edition is the 10 August close and is labelled as such rather than presented as intraday. One field required a judgement: **5Y5Y shows 2.3414 for 11 August, identical to the 10 August close to four decimal places.** That is the field-level version of the §9.8 stale-row signature, and the value is treated as a carry rather than a reading — a distinction that matters because a genuine unchanged print and a failure to update are indistinguishable in the cell and lead to opposite conclusions. Where third-party sources disagree, the disagreement is reported and **the denominator is always named**: UKMTO's eight transits on 8 August are against its own 138/day historical average (~6%), Windward's 17 in the 24 hours to 8 August are against its own ~140/day baseline, and TankerMap counts tankers only. No average is taken across incompatible vessel universes, and the IMF

PortWatch figure used in earlier editions is dropped because it could not be retrieved from source. The Bloomberg extract governs for every scored series; no price, yield or spread in this document comes from a news source.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war $3.52, peak $5.18, latest confirmed print **$4.70 on 7 August**, backfilled in this extract — a third consecutive close below the $4.75 trigger and the fifth consecutive decline, the sequence running $4.76 on 3 August then $4.75, $4.74, $4.72 and $4.70 — with 10 and 11 August blank). USRFRUSA (DOE regular spot; pre-war ~$2.94, peak $4.50, latest $4.079 for the week to 3 August, with the week-to-10-August print not posted at this snapshot) is tracked alongside as corroboration only. Neither series is re-based. The basis note stands: AUTMUSAG is an ALL-GRADES series and AAA's own published national average is REGULAR-grade, which printed $4.0091 on 10 August — the same structural gap that exists at the pre-war anchor, $3.52 against ~$2.94, so a reader comparing the scored $4.70 with a press report of $4.01 is comparing different series. The trigger, the anchor and the full history are all set on AUTMUSAG and re-basing would invalidate them. Diesel is reported separately because refining rather than crude is the binding constraint on the pump: AAA had diesel at $5.2996 on 10 August, down 6.4 cents on the week but still about 45 cents above a month earlier, with distillate stocks ~12% below the five-year average at the last EIA weekly and Jizan's 400k b/d now out to 30 August.

Pre-war anchor (27 Feb 2026 close). Brent $72.48; WTI $67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) $3.52; Henry Hub $3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent +18.3%, WTI +21.1%, TTF +97.4%, Asia LNG +101.3%; the 5Y (+91.0 bp), 2Y (+86.6 bp), 10Y (+76.9 bp), 30Y (+64.0 bp), 5Y5Y (+19.9 bp), DXY (+2.21), MOVE (+2.08) and now the 10Y breakeven (+1.9 bp) all sit above their anchors; only VIX (–4.40) and Henry Hub (–9.6%) are below. **That list has changed character since last week.** Six days ago spot inflation compensation and rates volatility were both below pre-war and the argument was that the market had normalised everything except the term premium. Both have now crossed back above, leaving equity volatility and US natural gas as the only two series still trading below where they were the day before the war began — and VIX did it by setting a war low three days after a missile hit a tanker in the strait.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close; the error is regime-dependent rather than random. This edition has an additional and larger caveat: **it covers four sessions rather than one**, because no Monday edition was produced, so the 10 August close is reported in full rather than as a reconciliation reference and the reader should treat the d/d columns as spanning Friday-to-Monday rather than a single session. The 7 August reconciliation was mixed rather than one-directional for the first time in a fortnight — crude closed above the snapshot while rates, volatility and the dollar closed below it — which is the signature of a payrolls print rather than a Hormuz headline. Recent Brent gaps between my snapshot and the subsequent close: –$0.84, +$1.97, –$0.47, –$3.99, +$0.10, +$2.26, +$0.72. CL2 remains an artifact against active CLA and the front-month/active gap is $2.03 in Brent; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.